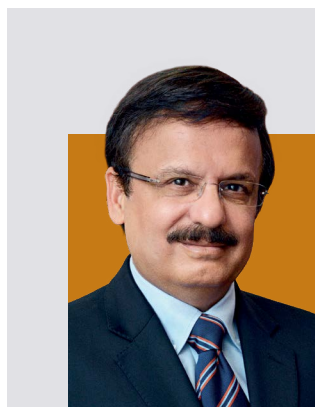




“The income tax cuts may not give too much boost to consumption and the repo rate cut will largely help producers and manufacturers. The GST cuts might boost consumption, but several items are price inelastic”

M. GOVINDA RAO
CHAIRMAN, KARNATAKA
REGIONAL IMBALANCES
REDRESSAL COMMITTEE



“Beyond compliance, the reform delivers something businesses value most, that is predictability. MSMEs, the backbone of our economy, now have the breathing space to innovate”

RAKESH NANGIA
MANAGING PARTNER,
NANGIA & CO

GST is beginning to shed its image of a complicated tax maze to emerge as a growth catalyst. “MSMEs, the backbone of our economy, now have the breathing space to innovate, while exporters have the clarity to expand globally,” says Nangia.

Welcoming the GST cuts, India Inc is passing them on to consumers, but many firms are still working on strategies given the nuances involved. For instance, the GST on biscuits is down to 5% from 18%. But the packaging material comes under the inverted duty structure.

In terms of pricing, manufacturers in the mass category, of ₹10, are unlikely to reduce prices but increase grammage. This is so that they do not upset the price-sensitive consumer base and make it easy for traders. Consumers in this segment typically buy in small quantities, implying more work for traders if there are many transactions.

Once it crosses ₹30, biscuits become a part of a larger consumer spend. Here, companies are likely to reduce prices since consumers end up buying more products and, hence, spend more. Plus, most payments by this consumer base are made electronically.

This could also be true for several other FMCG goods. However, in consumer durables and automobiles, companies are already announcing price cuts ahead of the auspicious Navaratri season, which sees significant sales. GST on small cars and motorcycles equal to or below 350cc has been cut to 18% from 28%, as well as on air conditioners, washing machines, dishwashers and all TVs.

Manish Sharma, Chairman of consumer durables maker Panasonic Life Solutions India, notes that the rationalisation of GST on air-conditioners and televisions from 28% to 18% will directly benefit consumers, especially in the festive season. “With this reduction, products that were earlier seen as aspirational are now more accessible, allowing a larger section of households to upgrade to energy-efficient and connected appliances,” he says.

Several automakers including Tata Motors, Renault India, Hyundai India, Mercedes Benz India and Mahindra & Mahindra have already announced pass-through of the GST 2.0 cuts. (See graphic)

Footwear major Bata India has introduced its Bata Price Promise initiative, extending the